3.7.8 Risk and non-financial factors

Unit 3.7 Analysing the strategic position of a business · 6 key points

- **Risk:** the chance that forecast returns are not achieved
- **Uncertainty:** future cash flows cannot be known for sure
- **Sensitivity:** small changes in forecasts can change the decision
- **Non-financial factors:** staff morale, brand image, ethics, environmental impact, fit with strategy
- **Trap:** a positive NPV does not guarantee a profit
- Investment appraisal supports a decision but does not make it